RBI - OFFICIAL REGULATORY DIRECTION

Prudential Norms on Income Recognition, Asset Classification and Provisioning (IRACP)

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Chapter 1: Operational Compliance Guidelines (DOC_003)

Chapter 2: Operational Compliance Guidelines (DOC_003)

Chapter 3: Operational Compliance Guidelines (DOC_003)

Section 4.1: Standard Asset and NPA Provisioning Matrix for NBFC-ML

4.1 Classification of Non-Performing Assets (NPA)
An asset becomes non-performing when installments of principal or interest remain overdue for a period of more than 90 days during the day-end process. Upgradation from NPA to Standard category is permitted only after complete clearance of all overdue principal and interest.

4.2 Provisioning Requirements by Asset Bucket
Middle-Layer NBFCs (NBFC-ML) must maintain minimum balance-sheet provisions against standard and delinquent loan buckets as prescribed in the provisioning matrix below.

Table 4.1: Mandatory Regulatory Schedule (DOC_003)

Asset Classification		Secured Portion Provision		Review Frequency
Standard Assets (Retail)	0 to 30 Days (SMA-0)	0.40%	0.40%	Monthly Day-End
	0 to 30 Days	1.00%	1.00%	Monthly Day-End
Sub-Standard Asset	Up to 12 Months as NPA	15.00%	25.00%	Quarterly Audit
Doubtful - Category I		25.00%	100.00%	Quarterly Audit
Doubtful - Category II		40.00%	100.00%	Quarterly Audit
Loss Assets	Identified Unrecoverable	100.00%	100.00%	Immediate Write-off

Chapter 5: Operational Compliance Guidelines (DOC_003)

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